

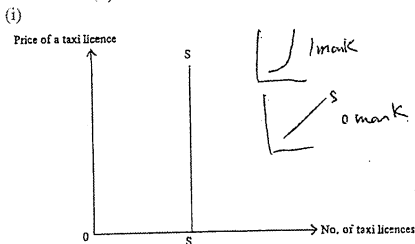
MARKING SCHEME

7.1 ELASTICITIES OF DEMAND & SUPPLY

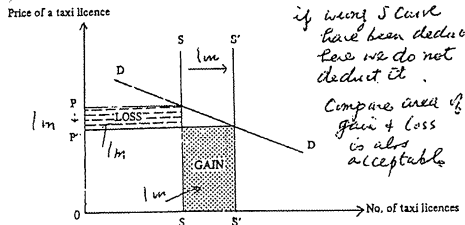
1990/CE/II/05 B	1995/CE/II/07 B	2000/CE/II/10 A	2006/CE/II/09 D (14%)	2010/CE/II/10 D (20%)
1990/CE/II/26 C	1996/CE/II/10 C	2002/CE/II/08 A (44%)	2007/CE/II/09 B (55%)	2012/DSE/II/11 C (45%)
1991/CE/II/19 C	1997/CE/II/08 D	2002/CE/II/10 B (34%)	2007/CE/II/11 D (52%)	2012/DSE/II/12 B (61%)
1991/CE/II/23 C	1997/CE/II/09 C	2003/CE/II/05 C (51%)	2008/CE/II/06 B (24%)	2014/DSE/II/13 B (60%)
1991/CE/II/57 C	1997/CE/II/10 D	2003/CE/II/07 C (55%)	2008/CE/II/10 D (56%)	2015/DSE/II/11 B (47%)
1992/CE/II/28 C	1998/CE/II/06 B	2003/CE/II/09 B (45%)	2009/CE/II/09 C (62%)	2016/DSE/II/15 A (37%)
1993/CE/II/20 D	1998/CE/II/07 C	2003/CE/II/13 D (59%)	2009/CE/II/10 C (26%)	2017/DSE/II/15 B (84%)
1993/CE/II/25 A	2000/CE/II/03 C	2004/CE/II/09 C (51%)	2010/CE/II/07 D (52%)	2018/DSE/II/17 C (63%)
1993/CE/II/28 C	2000/CE/II/05 A	2005/CE/II/12 A (32%)	2010/CE/II/09 C (42%)	2019/DSE/II/11 A
2020/DSE/II/ A	2022/DSE/II/12 D	2023/DSE/II/13 A	2023/DSE/II/14 B	2023/DSE/II/15 B
2024/DSE/II/13 A	2024/DSE/II/14 B	2025/DSE/II/15 B	2025/DSE/II/42 D	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answer

1992/CE/II/1(d)



(ii)



(ii) Indicate in the diagram:

- supply curve shifts to the right
- $P \downarrow$
- correct position of 'gain' and 'loss'
- gain > loss

(1)
(1)
(1)
(1)

Verbal explanation:

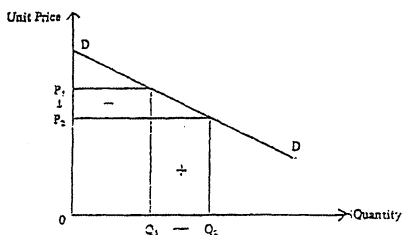
- (I) The price of a taxi licence will decrease, because there is an increase in supply.

(1)
(1)

- (II) If the demand for taxi licences is elastic, the percentage increase in quantity demanded will be larger than the percentage decrease in price.

(2)
(2)

1993/CE/1/1(a)



Indicate in the diagram:

- correct position of 'gain' and 'loss'
- gain > loss

(1)
(1)

Verbal explanation:

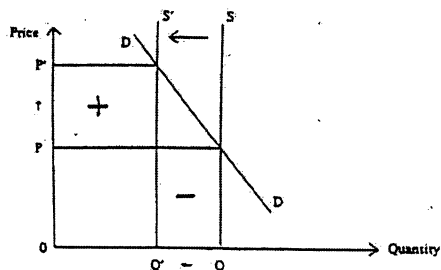
The demand for hamburgers is elastic (because there are substitutes).

(2)

The percentage decrease in price is smaller than the percentage increase in quantity demanded.

(3)

1994/CE/1/1(b)



Indicate in the diagram:

- supply curve shifts to the left
- correct position of 'gain' and 'loss'
- gain > loss

(1)
(1)
(1)

Verbal explanation:

Since the demand is inelastic,

(1)

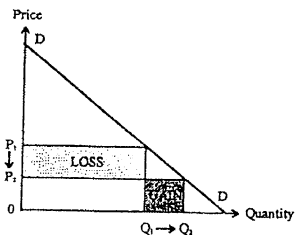
the percentage increase in price is larger than the percentage decrease in quantity sold.

(3)

Microeconomics by Topic
7. Demand & Supply (II)

1996/CE/1/1(a)

General manager:



Indicate in the diagram:

- $P \downarrow$ & $Q \uparrow$

(1)

- correct position of 'gain' and 'loss'

(1)

- gain < loss

(1)

Verbal explanation:

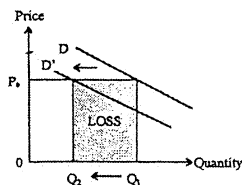
The demand is inelastic,

(1)

the percentage increase in quantity demanded is smaller than the percentage decrease in price.

(2)

Sales manager:



Indicate in the diagram:

- demand curve shifts to the left

(1)

- P unchanged & $Q \downarrow$

(1)

- loss

(1)

Verbal explanation:

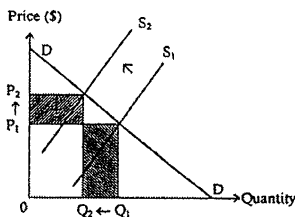
The demand for this newspaper would decrease (because different newspapers are substitutes for each other).

(1)

The quantity transacted decreases.

(1)

1997/CE/1/11(c)



Indicate in the diagram:

- supply curve shifts to the left
- $P \downarrow$ & $Q \uparrow$
- correct position of 'gain' and 'loss'
- gain < loss

(1)
(1)
(1)
(1)

Verbal explanation:

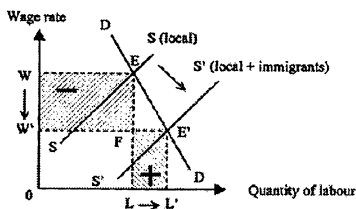
The supply of restaurant services decreases (because of an increase in production cost).

The demand is elastic,

the percentage increase in price is smaller than the percentage decrease in quantity demanded.

(1)
(1)
(3)

2000/CE/1/11(b)



Indicate in the graph:

- S (local people) shifts rightward to S' (local + immigrants)
- correct position of 'gain' and 'loss'
- loss > gain

(1)
(1)
(1)

Verbal explanation:

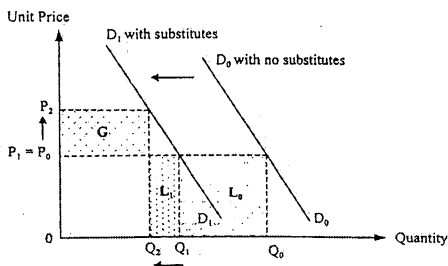
The supply of labour increases.

The demand is inelastic,

the percentage decrease in wage rate is larger than the percentage increase in employment

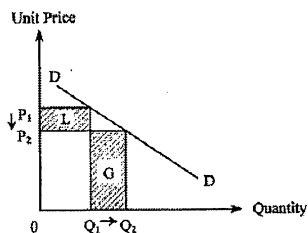
(1)
(1)
(3)

2001/CE/1/2



- (a) Indicate in the graph:
- demand curve shifts to the left (1)
 - fixed postage charge, i.e., $P_1 = P_0$ (1)
 - L_0 = decrease in total revenue (1)
- (b) Indicate in the graph:
- L_1 = new loss in total revenue (1)
 - G = new gain in total revenue (1)

2003/CE/1/9(a)



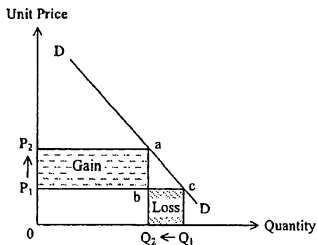
- Indicate in the diagram:
- $P \downarrow$ and $Q \uparrow$ (1)
 - revenue loss < revenue gain (2)

Verbal elaboration:

- The fall in export prices leads to an increase in the export volume. (1)
- As the demand for HK exports is elastic, (1)
- the percentage change in export price is smaller than the percentage change in the export volume. (2)

2005/CE/I/9

(a)



Indicate on the diagram:

- Area abP_1P_2 = Gain; Area bcQ_1Q_2 = Loss

(1)

- Gain > Loss

(1)

Verbal elaboration:

(After the increase in tolls,) the quantity demanded decreases.

(1)

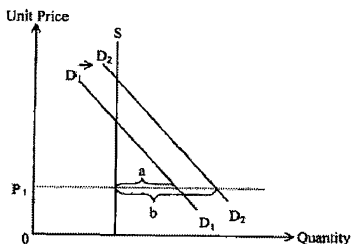
The demand for the tunnel service is inelastic,

(1)

the percentage change in price is larger than the percentage change in quantity demanded.

(2)

(b) (i)



Indicate on the diagram:

- price (P_1) is below the equilibrium price

(1)

- rightward shift of the demand curve

(1)

- excess demand increases from a to b

(1)

Verbal elaboration:

The Cross Harbour Tunnel is a substitute of the Western Harbour Crossing.

(1)

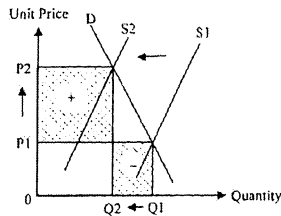
The demand for the Cross Harbour Tunnel's service increases.

(1)

(With a fixed price,) the excess demand would increase.

(1)

2009/CE/I/9(b)



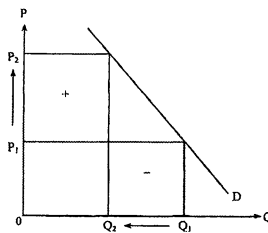
Indicate in the diagram:

- supply curve shifts to the left (1)
- $Q \downarrow$ and $P \uparrow$ (1)
- loss in total revenue < gain in total revenue (2)

Verbal elaboration:

- The supply of textbooks decreases, because the cost of production has increased. (1)
- The price increases and the quantity transacted decreases. (1)
- If the demand is inelastic, (1)
- the percentage change in quantity demanded is smaller than the percentage change in price. (1)

2013/DSE/I/9(a)



Indicate on the diagram:

- correction position of gain and loss (1)
- gain > loss (1)

Verbal elaboration :

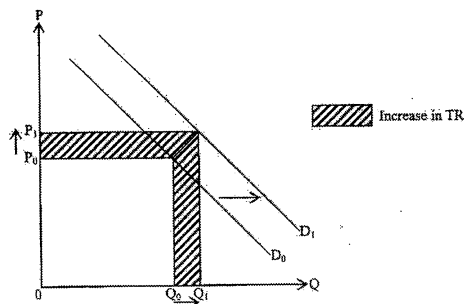
- If the demand for MTR service is inelastic, (1)
- the percentage increase in fare will be higher than the percentage decrease in the number of trips (, so the total expenditure will increase). (2)

2015/DSE/I/11(c)

- Tobacco duty would increase the market price of duty-paid cigarettes and thus reduce its quantity demanded. (1)

- If cigarette consumers are addicted, (1)
- their demand for cigarettes would be inelastic, so (1)
- the percentage decrease in quantity demanded would be smaller than the percentage increase in price. (1)

2017/DSE/I/10(c)



Illustrate in the diagram:

- rightward shift in the demand curve
- higher price and quantity
- higher total revenue

(1)
(1)
(1)

Verbal elaboration:

No, because

there was a rise in demand.

As both the price and the quantity transacted have increased,
total revenue has increased.

(1)
(2)
(2)
(1)
(Max: 7)

2018/DSE/I/5(a)

The supply of medical staff may be inelastic because

they require special training and qualification.

(Even if the government raises their wage rates sharply,) the percentage increase in the quantity supplied of medical staff
would still be smaller than the percentage increase in their wage rates.

(1)
(1)
(1)
(1)

2022/DSE/II/4a

- (a) Imposition of tariff would result in a decrease in the supply of imported goods. (3)

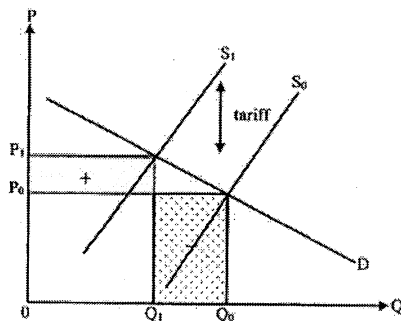
Since the demand for imported goods is elastic, the percentage decrease in quantity
would be bigger than the percentage increase in price.

Total expenditure would therefore drop.

Illustrate in the diagram:

- leftward shift in supply
- correct position of Area (+) and Area (—)
- Area (+) < Area (—)

(1)
(1)
(1)



2023/DSE/II/12aii

- (ii) According to Source B, gasoline is a daily necessity. (1)
Therefore, the demand for gasoline tends to be inelastic. (1)
The percentage decrease in quantity demanded is smaller than the percentage increase in price. (1)
Therefore, total expenditure on gasoline increases as its price increases.

2024/DSE/II/10(c)

- (c) As the demand for flight tickets increases, the demand curve shifts to the right. The equilibrium point moves upward along the same supply curve. Therefore, the percentage change in quantity relative to that in price depends on the price elasticity of supply. (3)
Given that the percentage increase in quantity is smaller than the percentage increase in price, we can conclude that the supply of flight tickets is inelastic.

2025/DSE/II/7

- (a) As each country specialises in producing the good which it can produce at a lower opportunity cost, the total output will increase. (2)
- (b) The opportunity cost to produce 1 unit of computers
in Country A $= \frac{3}{5} = 0.6$ units of toys (1)
in Country B $= \frac{4}{4} = 1$ unit of toys (1)
Country A would export computers as it has a lower opportunity cost in producing computers than Country B. (1)